

ORGANIZATIONAL BEHAVIOUR

SYLLABUS

MODULE II : Cognitive Processes of Organizational behavior (8 hrs)
Personality, Role of Heredity and the brain, Perception process, Social Perception, Employee Attitudes. Motivational needs and processes- Motivation process, Theories of Motivation. Positive organizational behavior- Positive Psychology, Self efficacy, Optimism, Hope, Resiliency, Psychological Capital, Emotional intelligence.

POSITIVE ORGANIZATIONAL BEHAVIOUR

- Study and application of **positive oriented human resource strengths** and psychological capacities
- Measured, developed, and effectively managed for performance improvement in today's workplace



POSITIVE PSYCHOLOGY

- To be included as a POB construct, the following operational criteria must be met:
 - Based on theory and research
 - Valid measure
 - Situationally based, open to learning, change, and development
 - Managed for performance improvement
- **Psychology**: Notion is **negative**
- **Aim of positive psychology**
 - Use **scientific methodology to discover and promote** the factors that allow individuals, groups, organizations, and communities to thrive.
 - Concerned with optimal human functioning instead of pathological human functioning

Three levels of positive psychology

1. Valued subjective experiences

- Well-being, contentment, and satisfaction (in the past)
- Hope and optimism (for the future)
- Flow and happiness (in the present)

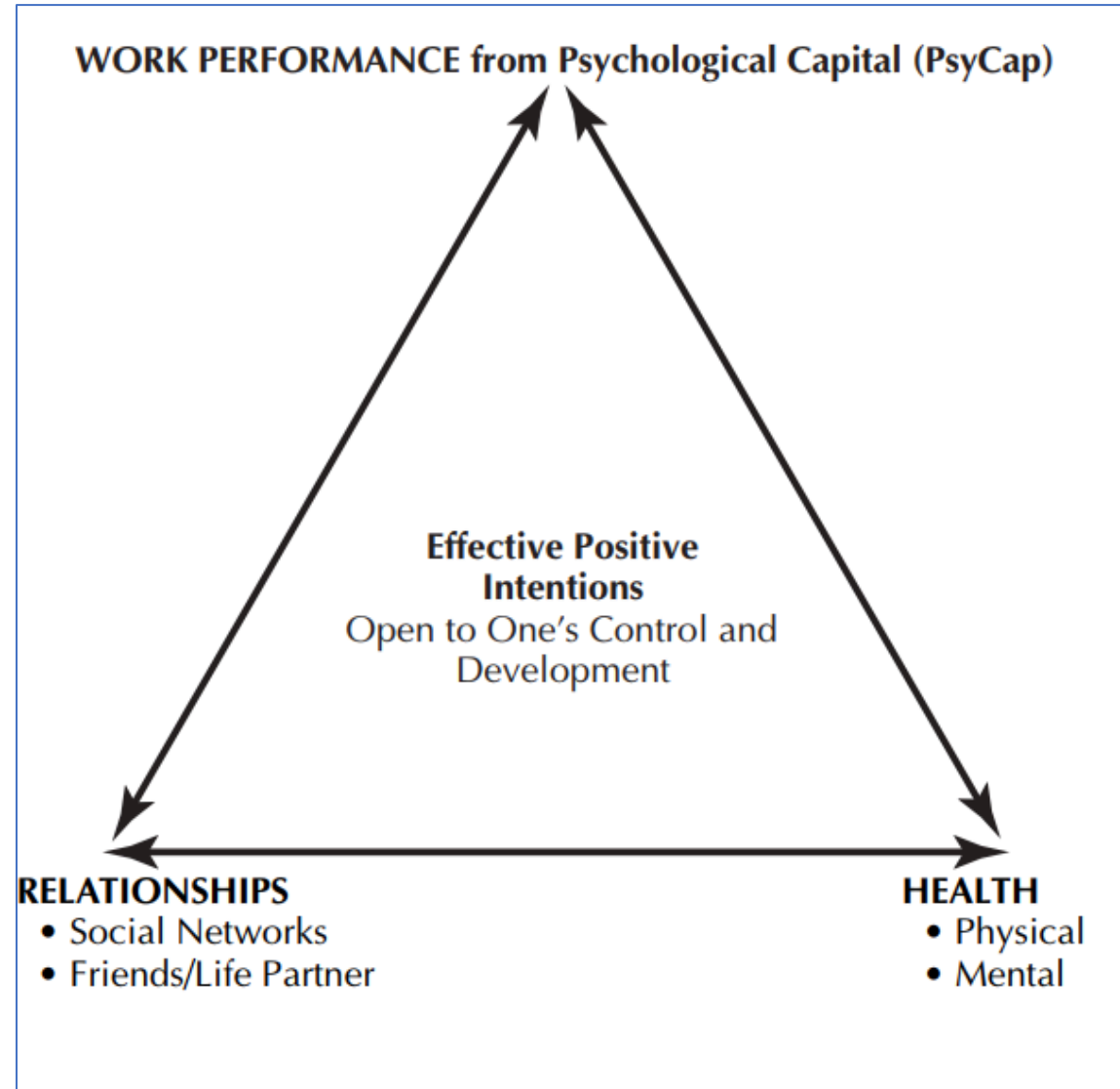
2. Positive individual traits

- Capacity for love and vocation
- Courage, interpersonal skill
- Aesthetic sensibility
- Perseverance, forgiveness, originality, future mindedness
- Spirituality, high talent, and wisdom

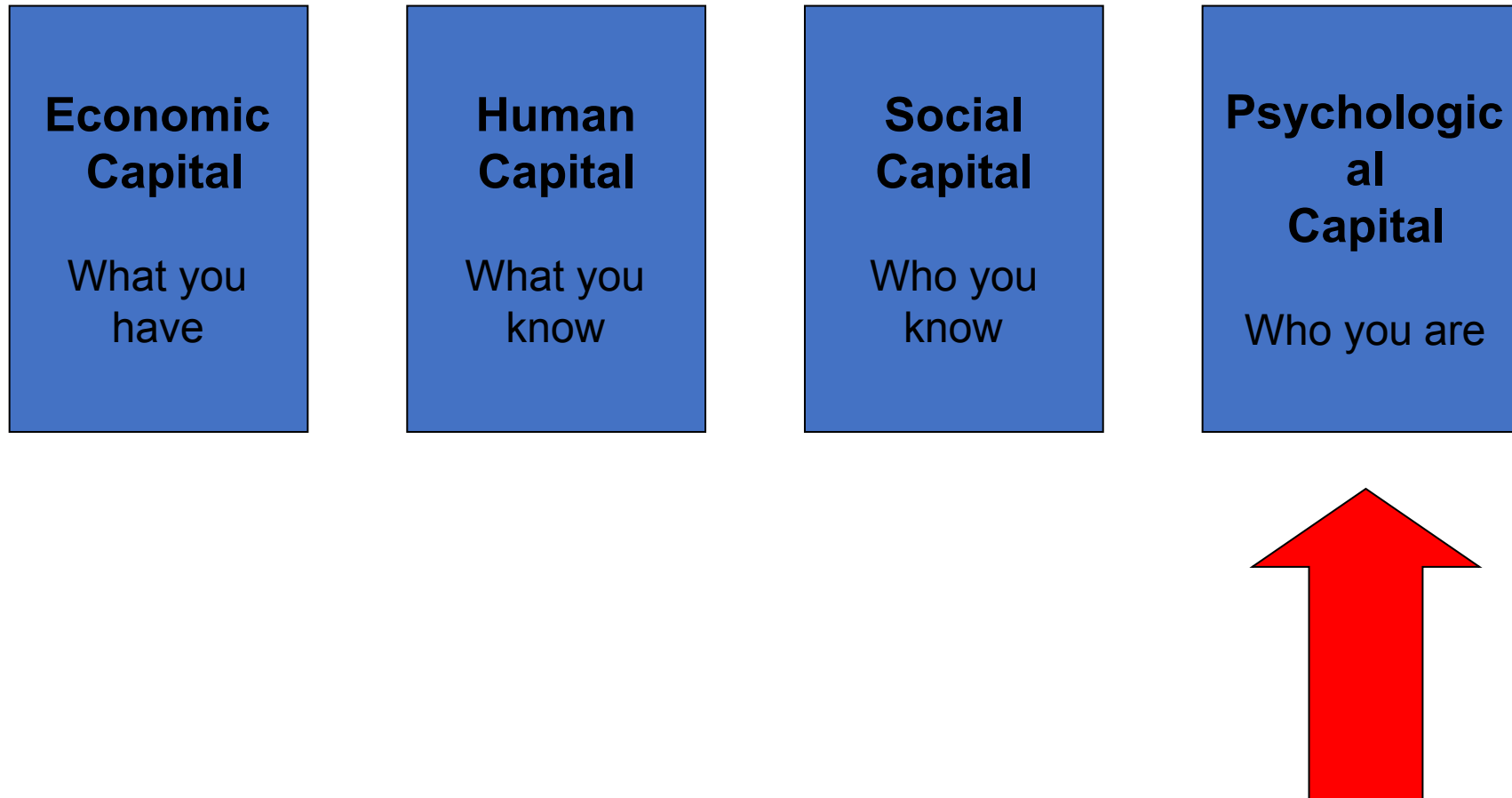
3. Civic virtues and the institutions that move individuals toward better citizenship

- Responsibility, nurturance, altruism, civility, moderation, tolerance, and work ethic

H-R-W model of Positive Psychology



Types of Capital



What is Psychological Capital (PsyCap)???

- ❖ Your positive psychological state of development as characterized by HERO...



PsyCap...

- ❖ Makes a large input into
 - ❖ Who you are
 - ❖ What you believe you can do
 - ❖ What you do
 - ❖ Who you can become



SOURCE: positivepsychology.com

Hope: The Will and the Way

❖ A positive motivational state that is based on an interactively derived sense of successful:

❖ **Goal creation**

❖ **Will Power**

❖ **Way Power**

Hope: The Will and the Way

❖ **Will power:**

- ❖ Focuses on setting realistic
- ❖ Challenging goals and expectations
- ❖ Reaching out those through self-directed determination

❖ **Way power:**

- ❖ If your path is blocked, are you able to generate an alternative path?
- ❖ Do you proactively determine the way to accomplish your goals?
- ❖ Do you tend to figure out and evaluate alternative paths?
- ❖ Do you have strengths to draw from to manage weaknesses/vulnerabilities?

Hope: Several Viewpoints

- A positive motivational state that is based on an interactively derived sense of successful
 - (a) agency **(goal-directed energy)**, and
 - (b) pathways **(planning to meet goals)**
- Whether or not we have hope depends on two dimensions of our explanatory style:
 - Pervasiveness : Spreading throughout
 - Performance
- Finding temporary and specific causes for misfortune is the **art of hope**

Resiliency: Bouncing Back and Beyond

- ♦ Resiliency is **reactive**
- ♦ Definition: A class of phenomena characterized by **patterns of positive adaptation** in the context of **significant adversity or risk**
- ♦ Bouncing back capacity involves
 - **Flexibility** **Adjustment**
 - Adaptability** **Continuous responsiveness to change**
- ♦ **Only a select few possess**
- ♦ Valuable input that **enhances their chances of success**
- ♦ Make realistic plans
- ♦ Positive view of yourself

Efficacy: Confidence to Succeed

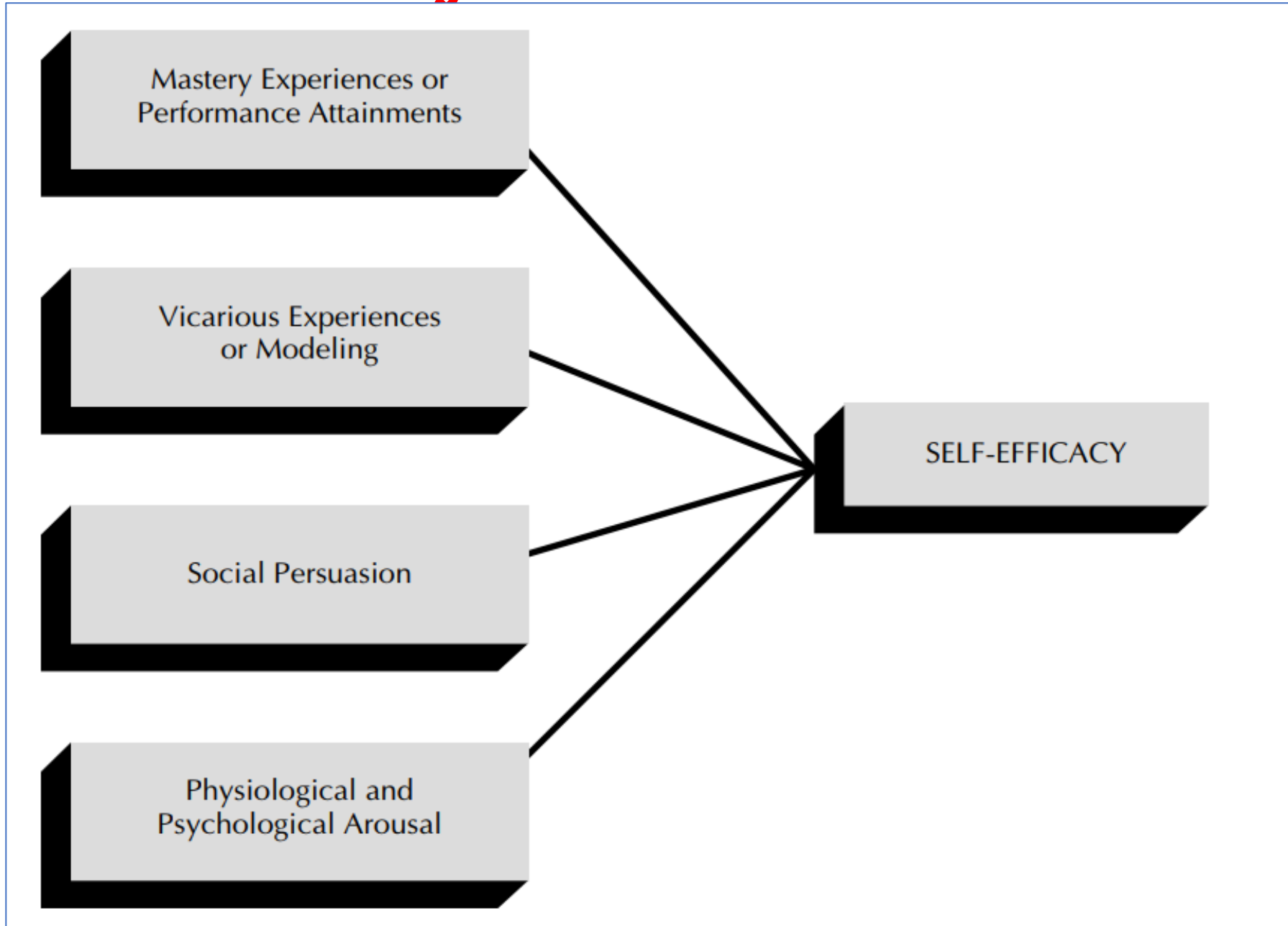
- An **individual's conviction (or confidence)** about his or her abilities to mobilize the
 - ❖ Motivation
 - ❖ Cognitive resources, and
 - ❖ Courses of action needed to successfully execute a specific task within a given context
- How confident are you to do the following:
 - At least get by on your tasks?
 - Meet your own and others' expectations in performing these tasks?
 - Excel in accomplishing these tasks?

Efficacy: Confidence to Succeed

❖ Self-efficacious people:

- ❖ Focus on tough tasks and set high goals
- ❖ Welcome a challenge
- ❖ Are highly motivated
- ❖ Invest effort to accomplish goals
- ❖ Show perseverance

Sources of Efficacy

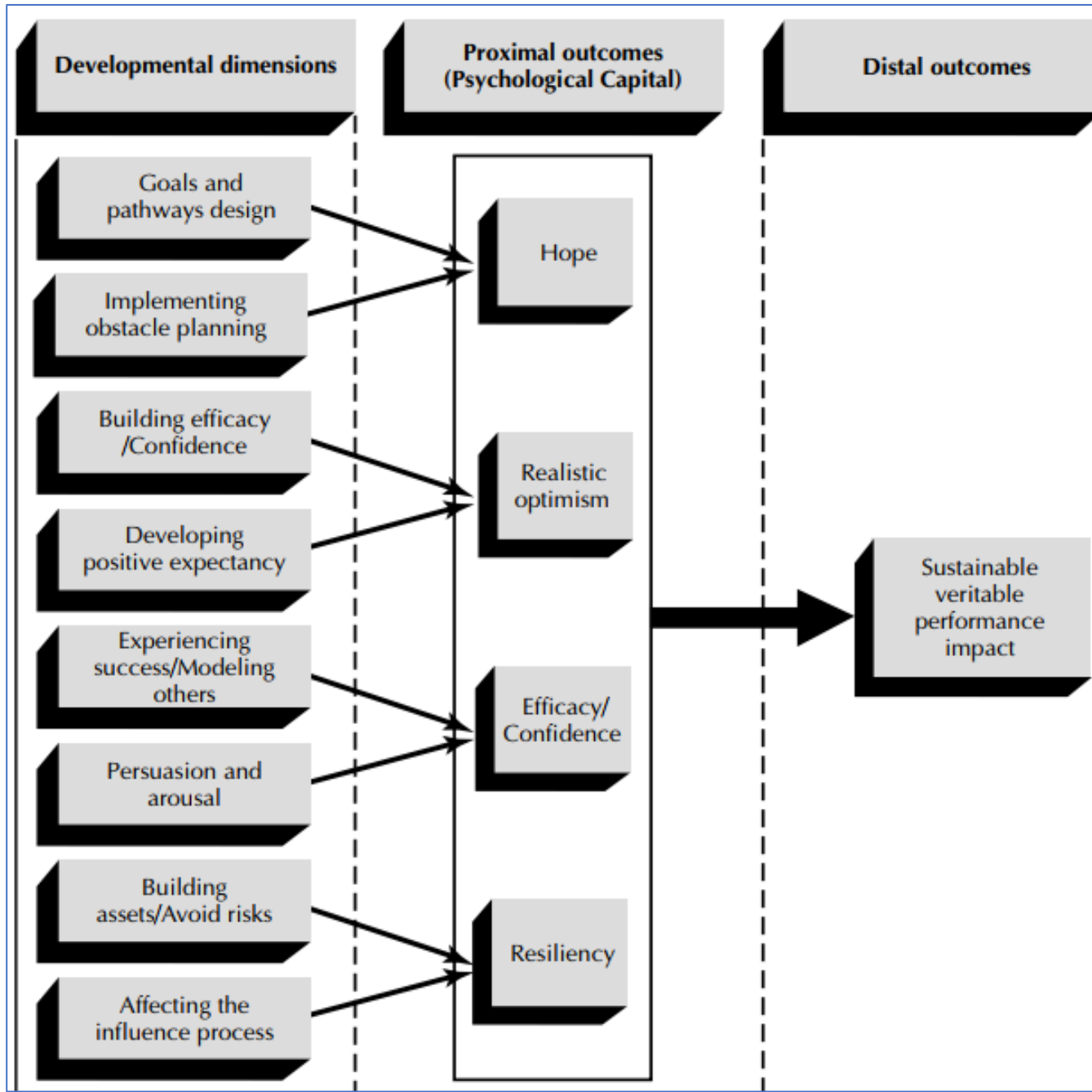


Optimism



- *Pessimists* make *internal* (their own fault), *stable* (will last a long time), and *global* (will undermine everything they do) attributions.
- *Optimists* make *external* (not their fault), *unstable* (temporary setback), and *specific* (problem only in this situation) attributions.
- “*realistic optimism*” would result in more effective leadership than “false optimism

Psychological capital Intervention Model



Self Learning exercise

Read the topic: Summary Descriptions of the Psychological Capital Intervention (PCI) Model and prepare a note on that.

OTHER POSITIVE CONSTRUCTS:

- wisdom, gratitude, forgiveness, courage, spirituality.
- happiness/subjective well-being (SWB) and emotional intelligence (EI).

Happiness or Subjective Well-being(SWB)

- a shift away from *who* is happy to *when* and *why* people are happy and on *what* the processes influence SWB.
- “Happiness is an ongoing process that requires a way of experienced life and the world that includes positive attitudes, meaning, and spirituality.
- Need an optimal level of happiness. “too happy” may perform less at work.
- happiness is clearly related to health and longevity, relationships, and effectiveness at work.
- SWB refers to overall evaluation of person’s life, including both positive emotions and cognitive assessments of life satisfaction.

Emotional Intelligence(EI)

- Emotion – how a person feels about something.
- Are reactions to an object, not a trait – **object specific**.
- Different emotions when “happy about something, angry at someone, afraid of something.”
- Both personality traits and mood states (positive or negative) influence on emotional processing.

Types of emotions.

Positive Primary Emotions:	Other Descriptors
Love/affection	Acceptance, adoration, longing, devotion, infatuation
Happiness/joy	Cheerfulness, contentment, bliss, delight, amusement, enjoyment, enthrallment, thrill, euphoria, zest
Surprise	Amazement, wonder, astonishment, shock
Negative Primary Emotions:	Other Descriptors
Fear	Anxiety, alarm, apprehension, concern, qualm, dread, fright, terror
Sadness	Grief, disappointment, sorrow, gloom, despair, suffering, dejection
Anger	Outrage, exasperation, wrath, indignation, hostility, irritability
Disgust	Contempt, disdain, abhorrence, revulsion, distaste
Shame	Guilt, remorse, regret, embarrassment, humiliation

According to Daniel Goleman,

Emotional intelligence or EI can be defined as the capacity for recognizing our own feelings and those of others, for motivating ourselves, and for managing emotions well in ourselves and in our relationships.

Goleman's EI Dimensions.

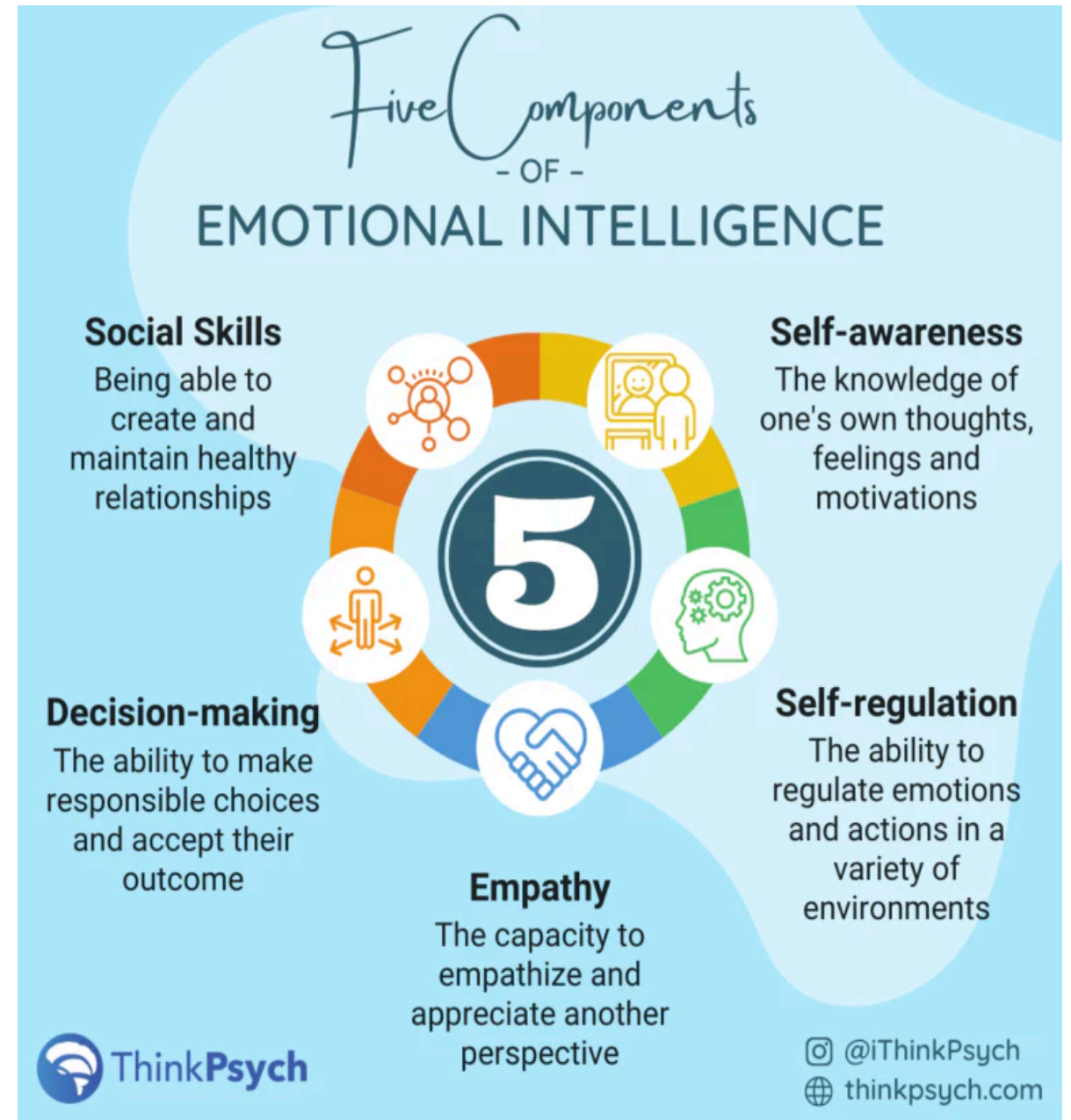


Goleman's Dimensions of Emotional Intelligence in the Workplace

El Dimensions:	Characteristics	Workplace Example
Self-awareness	Self-understanding; knowledge of true feelings at the moment	John recognizes that he is angry so he will wait to cool down and gather more information before making an important personnel decision.
Self-management	Handle one's emotions to facilitate rather than hinder the task at hand; shake off negative emotions and get back on constructive track for problem solution	Amber holds back her impulse to become visibly upset and raise her voice at the customer's unfair complaint and tries to get more facts of what happened.
Self-motivation	Stay the course toward desired goal; overcome negative emotional impulses and delay gratification to attain the desired outcome	Pat persisted to successful project completion in spite of the many frustrations from the lack of resources and top management support.
Empathy	Understand and be sensitive to the feelings of others; being able to sense what others feel and want	Because the head of the team knew her members were mentally if not physically exhausted, she took everyone bowling during an afternoon break and bought refreshments.
Social skills	The ability to read social situations; smooth in interacting with others and forming networks; able to guide others' emotions and the way they act	Jeremy could tell from the nonverbal cues from his staff members that they were not buying into the new policy being presented, so after the meeting he visited with each of them to explain how they will all benefit.

Benefits of EI in the workplace:

- Ability to deal with change
- Sense of self-efficacy
- Conflict management
- Stress tolerance
- Job satisfaction
- Increased job performance



Questions for Discussion:

- 1) Defend or argue against the statement that the characteristics of a highly efficacious employee may be “the best profile of a high performer.” Describe this profile and give an example of this in the workplace.
- 2) How does optimism in positive psychology go beyond the old “power of positive thinking”? Give an example of where “little optimism” may be different from “big optimism.”
- 3) What is an emotion? How do emotions differ from moods? Identify some primary emotions, and give examples of how they may be expressed in the workplace.

The Meaning of Personality:



■ According to Fred Luthans,

- How people affect others
- How they understand and view themselves,
- Pattern of inner and outer measurable traits
 - Person-situation interaction

The Role of Heredity and the Brain:

- Does Genes play a role in personality?
- Genetic component to just about every human trait and behavior, including
 - Personality
 - General intelligence
 - Behavior disorders
- **Social evolution:** Humanity is evolving along the lines of social phenomena such as **trust, collaboration, and competition**

Role of Heredity and the Brain:

- **Brain dominance theory:** Right-side creative brain and the left-side analytical or management brain
- *The Wall Street Journal* even reported a study that indicated those with **brain damage impairing their ability to experience emotion made better financial decisions** than normal players in a simple investment game.

Theoretical foundation components of personality:

- 1. **Self-Esteem**
- People's attempts to understand themselves are called the *self-concept* in personality theory.
- In organization domain, term **organization-based self-esteem (OBSE)**, is defined as the “self-perceived value that individuals have of themselves as organization members acting within an organization context.”
- high score on OBSE indicates positive relationship with performance and satisfaction on the job.

2. Person-Situation Interaction

- The dimensions of enduring traits and the self-concept add to the understanding of the human personality.
- **Each situation is different.** The differences may seem to be very small on the surface, but when filtered by the person's cognitive mediating processes such as perception , they can lead to quite large subjective differences and diverse behavioral outcomes.

3. The Socialization Process

- The human being consists of both physiological *and* psychological interacting parts. Therefore, heredity, the brain, environment, and learning *all* contribute to the human personality.
- Increasing recognition given to the role of other relevant persons, groups, and, especially, organizations that greatly influence an individual's personality. This continuous impact from the social environment is commonly called the ***socialization process***.
- Socialization starts with the initial contact between a mother and her new infant, other members of the family members, close relatives and family friends, and then the social group (peers, school friends, and members of the work group).

- Specific techniques of socializing new employees would include the **use of mentors or role models, orientation and training programs, reward systems, and career planning.**
- Specific steps that can lead to successful organizational socialization would include the
 - following:
 - 1. Provide a challenging first job
 - 2. Provide relevant training
 - 3. Provide timely and consistent feedback
 - 4. Select a good first supervisor to be in charge of socialization
 - 5. Design a relaxed orientation program
 - 6. Place new recruits in work groups with high morale.
- In conclusion, **personality** is the whole person and is concerned with **external appearance and traits, self, and situational interactions.**

The “Big Five” Personality Traits.

Core Traits	Descriptive Characteristics of High Scorers
Conscientiousness	Dependable, hardworking, organized, self-disciplined, persistent, responsible
Emotional stability	Calm, secure, happy, unworried
Agreeableness	Cooperative, warm, caring, good-natured, courteous, trusting
Extraversion	Sociable, outgoing, talkative, assertive, gregarious
Openness to experience	Curious, intellectual, creative, cultured, artistically sensitive, flexible, imaginative

The “Big Five” Personality Traits.

1. Highly conscientious □ more job knowledge, better performance.
2. Emotional stability □ job satisfaction
3. Extroverts □ happy in jobs , good social skills.
4. Open people □ more creative, good leaders
5. Agreeable □ good in social settings.

The Jung Theory Dimensions and the Myers-Briggs Type Indicator - (MBTI)

Where do you get your energy?	
Extraversion (E) _____	Introversion (I) _____
Outgoing	Quiet
Interacting	Concentrating
Speaks, then thinks	Thinks, then speaks
Gregarious	Reflective
What do you pay attention to and collect information on?	
Sensing (S) _____	Intuiting (N) _____
Practical	General
Details	Possibilities
Concrete	Theoretical
Specific	Abstract
How do you evaluate and make decisions?	
Thinking (T) _____	Feeling (F) _____
Analytical	Subjective
Head	Heart
Rules	Circumstance
Justice	Mercy
How do you orient yourself to the outside world?	
Judging (J) _____	Perceiving (P) _____
Structured	Flexible
Time oriented	Open ended
Decisive	Exploring
Organized	Spontaneous

Myers-Briggs Type Indicators (MBTI)

- Four personality dimensions or traits:
 - (1) **introversion** / **extraversion**,
 - (2) **perceiving** / **judging**,
 - (3) **sensing** / **intuition**, and
 - (4) **thinking** / **feeling**
- four major dimensions, which in combination yield the **16 types**.
- For example, the ESTJ is extraverted, sensing, thinking, and judging.

This type likes to interact with others (E); sees the world realistically (S); makes decisions objectively and decisively (T); and likes structure, schedules, and order(J), this would be a manager type.

16 PERSONALITIES

INTJ

INNOVATIVE, INDEPENDENT, STRATEGIC, LOGICAL, RESERVED, INSIGHTFUL. DRIVEN BY THEIR OWN ORIGINAL IDEAS TO ACHIEVE IMPROVEMENTS.

INTP

INTELLECTUAL, LOGICAL, PRECISE, RESERVED, FLEXIBLE, IMAGINATIVE. ORIGINAL THINKERS WHO ENJOY SPECULATION AND CREATIVE PROBLEM SOLVING.

ENTJ

STRATEGIC, LOGICAL, EFFICIENT, OUTGOING, AMBITIOUS, INDEPENDENT. EFFECTIVE ORGANIZERS OF PEOPLE AND LONG-RANGE PLANNERS.

ENTP

INVENTIVE, ENTHUSIASTIC, STRATEGIC, ENTERPRISING, INQUISITIVE, VERSATILE. ENJOY NEW IDEAS AND CHALLENGES, VALUE INSPIRATION.

INFJ

IDEALISTIC, ORGANIZED, INSIGHTFUL, DEPENDABLE, COMPASSIONATE, GENTLE. SEEK HARMONY AND COOPERATION; ENJOY INTELLECTUAL STIMULATION.

INFP

SENSITIVE, CREATIVE, IDEALISTIC, PERCEPTIVE, CARING, LOYAL. VALUE INNER HARMONY AND PERSONAL GROWTH. FOCUS ON DREAMS AND POSSIBILITIES.

ENFJ

CARING, ENTHUSIASTIC, IDEALISTIC, ORGANIZED, DIPLOMATIC, RESPONSIBLE. SKILLED COMMUNICATORS WHO VALUE CONNECTION WITH PEOPLE.

ENFP

ENTHUSIASTIC, CREATIVE, SPONTANEOUS, OPTIMISTIC, SUPPORTIVE, PLAYFUL. VALUE INSPIRATION, ENJOY STARTING NEW PROJECTS, SEE POTENTIAL IN OTHERS.

ISTJ

RESPONSIBLE, SINCERE, ANALYTICAL, RESERVED, REALISTIC, SYSTEMATIC. HARDWORKING AND TRUSTWORTHY WITH SOUND PRACTICAL JUDGEMENT.

ISFJ

WARM, CONSIDERATE, GENTLE, RESPONSIBLE, PRAGMATIC, THOROUGH. DEVOTED CARETAKERS WHO ENJOY BEING HELPFUL TO OTHERS.

ESTJ

EFFICIENT, OUTGOING, ANALYTICAL, SYSTEMATIC, DEPENDABLE, REALISTIC. LIKE TO RUN THE SHOW AND GET THINGS DONE IN AN ORDERLY FASHION.

ESFJ

FRIENDLY, OUTGOING, RELIABLE, CONSCIENTIOUS, ORGANIZED, PRACTICAL. SEEK TO BE HELPFUL AND PLEASE OTHERS, ENJOY BEING ACTIVE AND PRODUCTIVE.

ISTP

ACTION-ORIENTED, LOGICAL, ANALYTICAL, SPONTANEOUS, RESERVED, INDEPENDENT. ENJOY ADVENTURE, SKILLED AT UNDERSTANDING THINGS.

ISFP

GENTLE, SENSITIVE, NURTURING, HELPFUL, FLEXIBLE, REALISTIC. SEEK TO CREATE A PERSONAL ENVIRONMENT THAT IS BOTH BEAUTIFUL AND PRACTICAL.

ESTP

OUTGOING, REALISTIC, ACTION-ORIENTED, CURIOUS, VERSATILE, SPONTANEOUS. PRAGMATIC PROBLEM SOLVERS AND SKILLFUL NEGOTIATORS.

ESFP

PLAYFUL, ENTHUSIASTIC, FRIENDLY, SPONTANEOUS, TACTFUL, FLEXIBLE. HAVE A STRONG COMMON SENSE, ENJOY HELPING PEOPLE IN TANGIBLE WAYS.



INTJ



INTP



ENTJ



ENTP



INFJ



INFP



ENFJ



ENFP



ISTJ



ISFJ



ESTJ



ESFJ



ISTP



ISFP



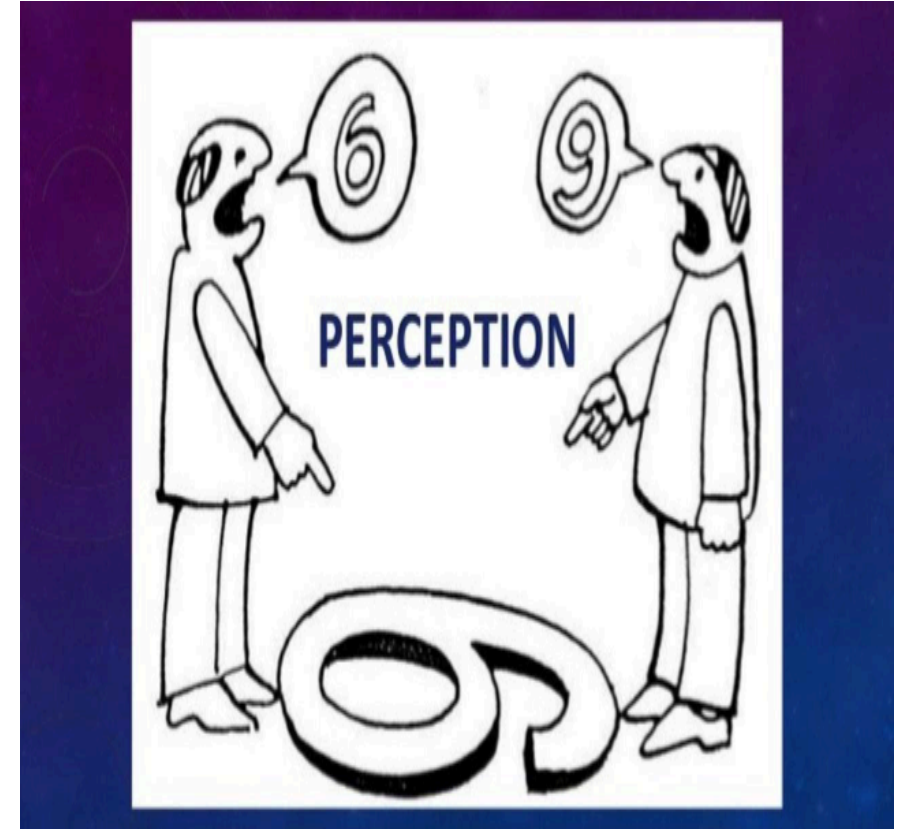
ESTP



ESFP

The PERCEPTION Process

- Interpretation of what we take in through our senses.
- Process by which people **select, organize, interpret, retrieve and respond to information.**
- Perception (consciously and unconsciously) involves searching , obtaining and processing information in the mind in an attempt to make sense of the world.

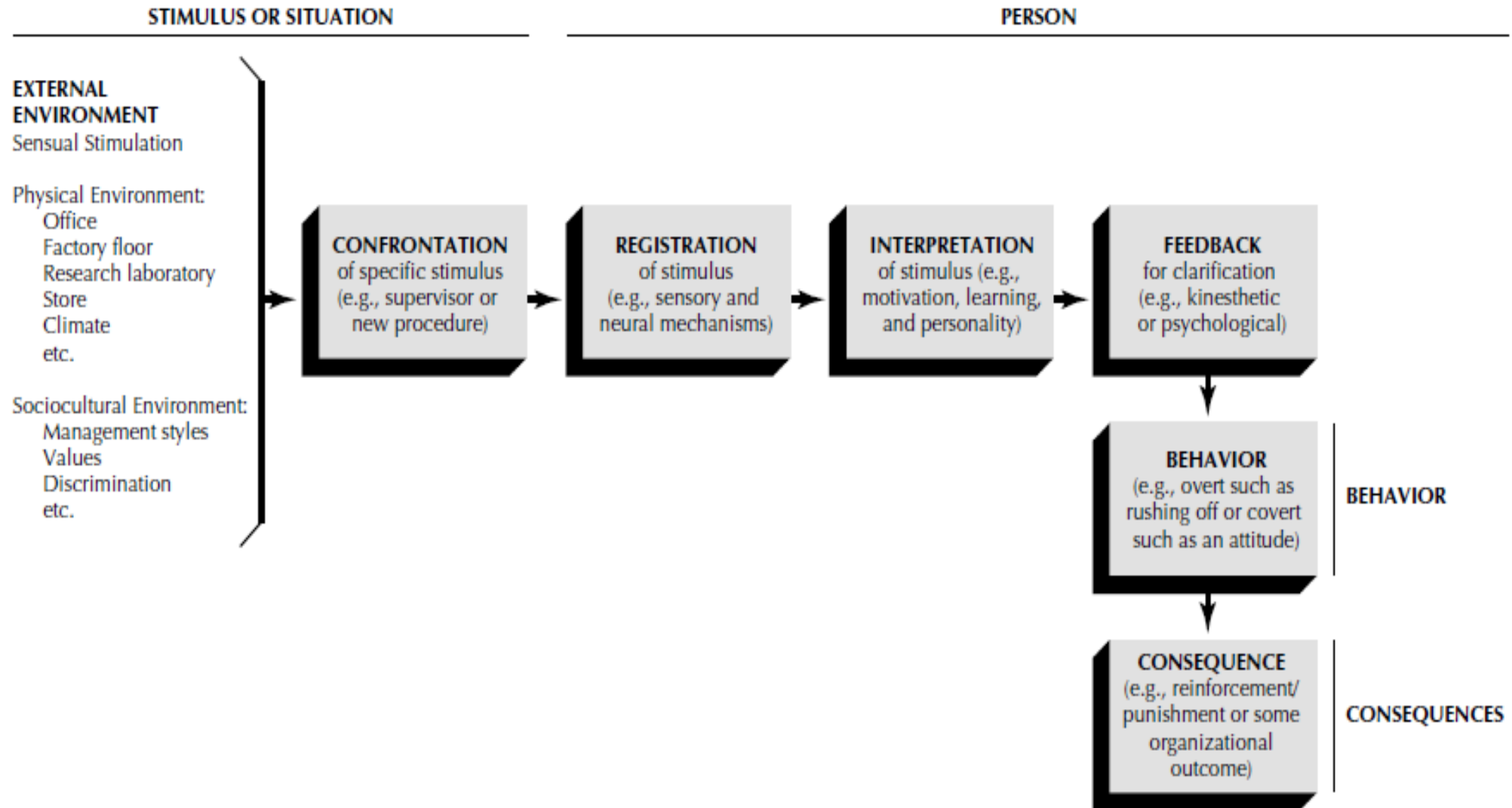


“ We don’t see things as they are, We see things as we are.”

Sensation Vs Perception

- Physical senses – vision, hearing , touch, smell and taste.
- Sensation behavior is determined by physiological functioning.
- Perceptual process(or filter) □ interaction of selection , organization and interpretation.
- **Perception** depends on **senses** for raw data , **cognitive process filters, modifies or changes these data.**
- Eg: looking one side of a stationary object.
- OB examples ???

The Subprocesses of Perception.



Social Perception

Perception: The process of interpreting sensory impressions to make sense of the environment.

Perception is influenced by the perceiver, the perceived, and the situation.

Perceiver: The person who perceives something.

Factors that influence the perceiver's perception include their motivation, emotions, and experience.

- **Perceived:** The person or thing being perceived.
- **Social perception:** The process of forming impressions of other people. This includes how people categorize others and interpret their behavior.
- OB example?? Manager with high and low self esteem and behavior of opposite person.

Problems:

- ❖ **Person perceived according to a single category.**

STEREO TYPING

“Making positive or negative generalizations about a group or category of people, usually based on inaccurate assumptions and beliefs and applying these generalizations to an individual member of the group.”

Stereotyping



**We are
different**

**Person
perceived
on the
basis of
one trait.**

HALO EFFECT

Drawing general impression of individual on the basis of a single characteristic. i.e. if someone is good at one dimension, he/she is perceived to be good at other dimensions as well.



The Halo Effect:

- In performance appraisal, error may occur in judging a person's total personality/performance on basis of a single trait(intelligence/ appearance)
- That single trait override all other traits in forming the perception of a person.
- Opposite is “ **horns effect**” , where an individual is downgraded due to a single negative characteristic or incident.
- Dependent variable on perception and major problem affecting appraisal accuracy.

Work- Related Attitudes : PA/NA

- **Positive Affectivity (PA):** sense of well –being, pleasurable, effectively engaged, experience positive attitudes.
- **Negative Affectivity(NA):** negative emotional states, nervous, tense, anxious, worried, upset and distressed.
- Those with high NA more perceived as victims / target of coworkers' aggressive actions.
- Those with high PA tend to perform better, less absent from work , more satisfied.

Employee Attitudes.

Job Satisfaction:

- important employee attitude in OB.

Pleasurable or positive emotional state resulting from the appraisal of one's job or job experience.

Influences on Job Satisfaction.

1. **The Work Itself** - job provides interesting tasks, opportunities for learning , chance to accept responsibility.
2. **Pay** - amount of financial remuneration.
3. **Promotion opportunities** : chances for advancement.
4. **Supervision** : abilities of a supervisor to give technical assistance and behavioral support.
5. **Coworkers** : how technically proficient and socially supportive.
 - Work group and working conditions.

Outcomes of Job Satisfaction — Self learning topic.

- ❖ Satisfaction and Performance
- ❖ Satisfaction and turnover
- ❖ Satisfaction and Absenteeism
- ❖ Other ways to enhance satisfaction (make jobs more fun, have fair pay , benefits , match people with jobs that fit their skills and interests)

Organizational Commitment

- a state that influences how employees connect with their organisation.
 - defined as (1) a strong desire to remain a member of a particular organization
 - (2) a willingness to exert high levels of effort on behalf of the organization and
 - (3) a definite belief in, and acceptance of, the values and goals of the organization.
 - determined by personal (age, tenure), organizational (job design, support, leadership), and situational factors.
- An attitude reflecting employee's loyalty to their organization and is an ongoing process through which organizational participants express their concern for the organization and its continued success and well-being.

Organizational Commitment Questionnaire :

Listed below are a series of statements that represent possible feelings that individuals might have about the company or organization for which they work. With respect to your own feelings about the particular organization for which you are now working, please indicate the degree of your agreement or disagreement with each statement by checking one of the seven alternatives below each statement.*

1. I am willing to put in a great deal of effort beyond what is normally expected in order to help this organization be successful.
2. I talk up this organization to my friends as a great organization to work for.
3. I feel very little loyalty to this organization. (R)
4. I would accept almost any type of job assignment in order to keep working for this organization.
5. I find that my values and the organization's values are very similar.
6. I am proud to tell others that I am a part of this organization.
7. I could just as well be working for a different organization as long as the type of work was similar. (R)
8. This organization really inspires the very best in me in the way of job performance.
9. It would take very little change in my present circumstances to cause me to leave this organization. (R)
10. I am extremely glad that I chose this organization to work for over others I was considering at the time I joined.
11. There's not too much to be gained by sticking with this organization indefinitely. (R)
12. Often, I find it difficult to agree with this organization's policies on important matters relating to its employees. (R)
13. I really care about the fate of this organization.
14. For me this is the best of all possible organizations for which to work.
15. Deciding to work for this organization was a definite mistake on my part. (R)

Three-component model for organizational commitment.

- proposed by Meyer and Allen.

1. **Affective commitment** involves the employee's emotional attachment to, identification with, and involvement in the organization.
2. **Continuance commitment** involves commitment based on the costs that the employee associates with leaving the organization. This may be because of the loss of seniority for promotion or benefits.
3. **Normative commitment** involves employees' feelings of obligation to stay with the organization because they should; it is the right thing to do.

The Outcomes of Organizational Commitment.

- ❖ **Enhanced Employee Performance:** results in productivity, better quality work and a proactive approach to problem solving and innovation.
- ❖ **Reduced Turnover Rates:** Having a level of commitment saves the organization on recruitment and training costs. Committed employees are less likely to search for job opportunities creating more stability within workforce.
- ❖ **Establishment of a Strong Organisational Culture:** Encourage a culture characterized by openness, transparency, inclusivity that promotes a sense of belonging and shared purpose among all employees.
- ❖ **Organizational Citizenship Behaviors (OCB)**

Guidelines to enhance Organizational Commitment

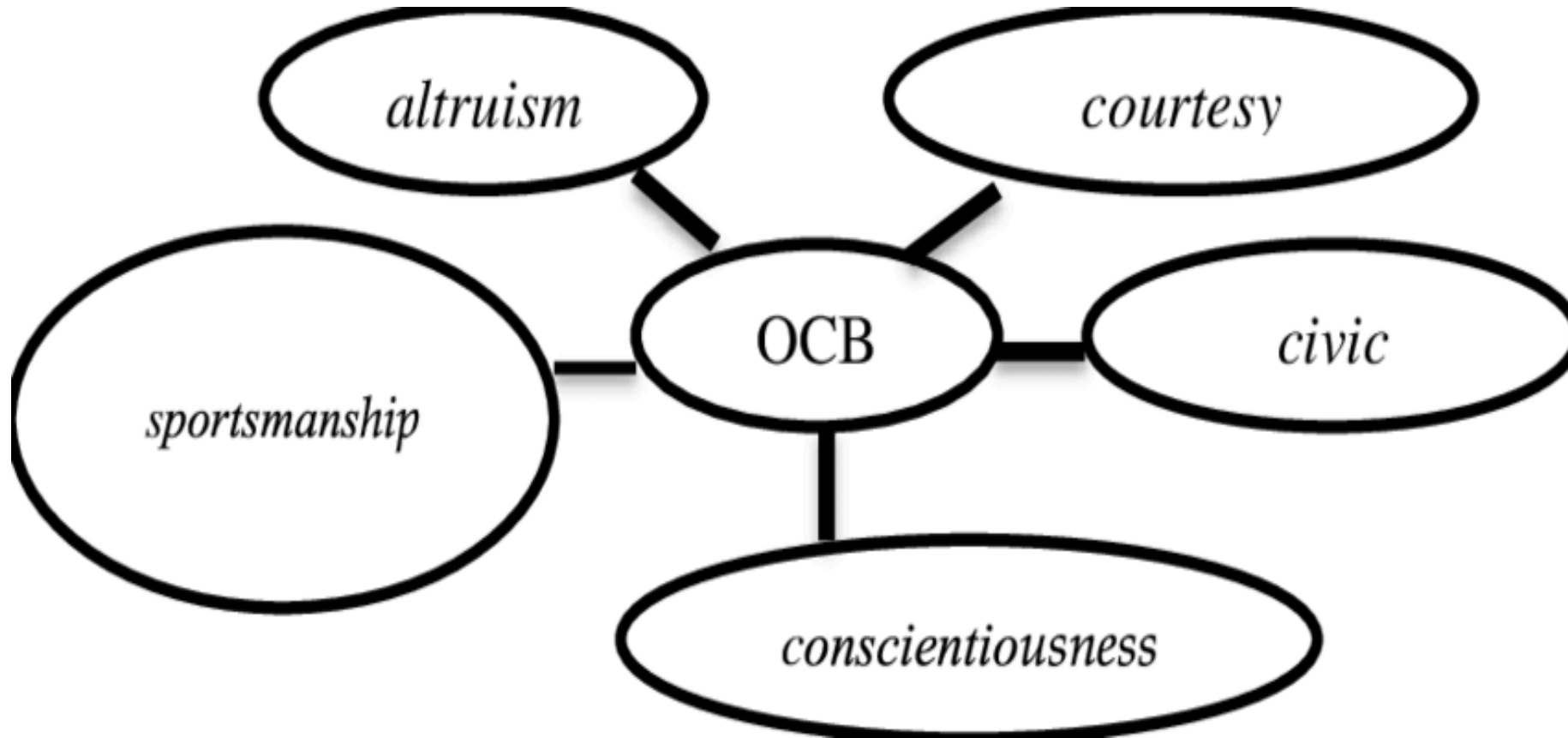
1. Commit to people-first values.
2. Clarify and communicate your mission.
3. Guarantee organizational justice.
4. Create a sense of community.
5. Support employee development.

Organizational Citizenship Behaviors (OCBs)

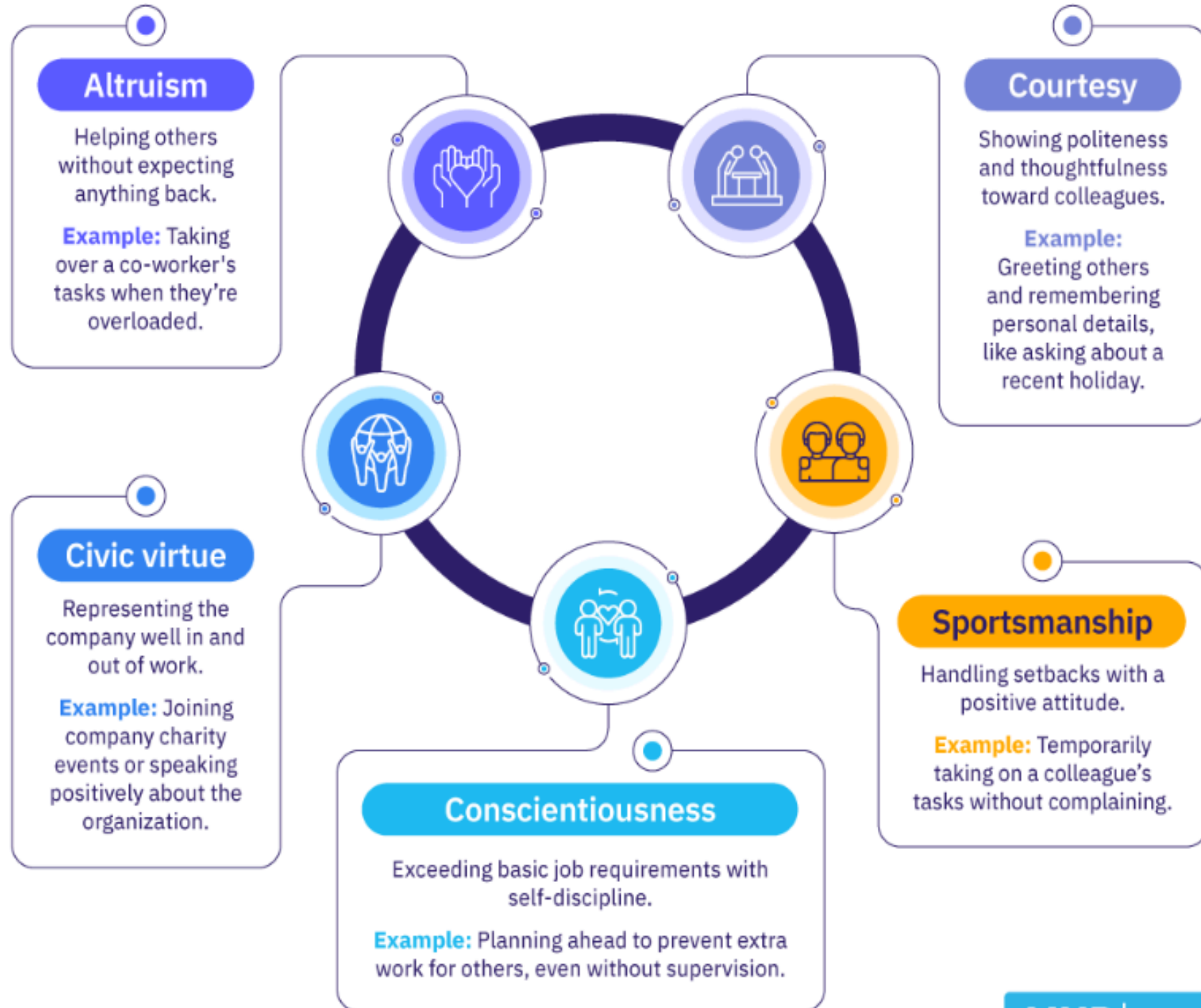
- positive and constructive actions and behaviors that employees perform that go beyond their formal job description.

According to Dennis Organ, OCB is an “individual behavior that is discretionary, not directly or explicitly recognized by the formal reward system, and that in the aggregate promotes the effective functioning of the organization.”

5 forms of OCBs:



5 forms of OCBs:



- OCB involve predispositional traits of employee (cooperative, helpful, caring ,conscientious).
- Motivational dimensions, job satisfaction and organizational commitment relate to OCBs.
- today's managers enhance not only job satisfaction and organizational commitment, but also the organizational citizenship behaviors of their employees.
- Thus, OCBs positively relate to individual, group, and organizational performance.

Questions for Discussion:

1. Critically analyze the statement that “the various psychological processes can be thought of as pieces of a jigsaw puzzle and personality as the completed puzzle picture.”
2. In understanding the process of perception, do you agree with the observation that people are human information processors? Why?

Organizational Behavior Case: *Ken Leaves the Company*

Good people—valuable employees—quit their jobs every day. Usually, they leave for better positions elsewhere. Take Ken, an experienced underwriter in a north-eastern insurance company, who scribbled the following remarks on his exit interview questionnaire:

This job isn't right for me. I like to have more input on decisions that affect me—more of a chance to show what I can do. I don't get enough feedback to tell if I'm doing a good job or not, and the company keeps people in the dark about where it's headed. Basically, I feel like an interchangeable part most of the time.

In answer to the question about whether the company could have done anything to keep him, Ken replied simply, "Probably not."

Why do so many promising employees leave their jobs? And why do so many others stay on but perform at minimal levels for lack of better alternatives? One of the main reasons—Ken's reason—can be all but invisible, because it's so common in so many organizations: a systemwide failure to keep good people.

Corporations should be concerned about employees like Ken. By investing in human capital, they may

actually help reduce turnover, protect training investments, increase productivity, improve quality, and reap the benefits of innovative thinking and teamwork.

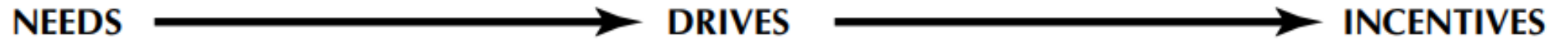
Human resource professionals and managers can contribute to corporate success by encouraging employees' empowerment, security, identity, "connectedness," and competence. How? By recognizing the essential components of keeping their best people and by understanding what enhances and diminishes those components.

Ken doubts that his company will ever change, but other organizations are taking positive steps to focus on and enhance employee retention. As a result, they're reducing turnover, improving quality, increasing productivity, and protecting their training investments.

1. Do you think that Ken's self-esteem had anything to do with his leaving the firm?
2. What do you think were Ken's satisfaction with and commitment to the job and firm he is leaving? How does this relate to the research on the determinants and outcomes of satisfaction and commitment?
3. What lesson can this company learn from the case of Ken? What can and should it now do?

Motivational Needs & Processes

- Basic Motivation Process



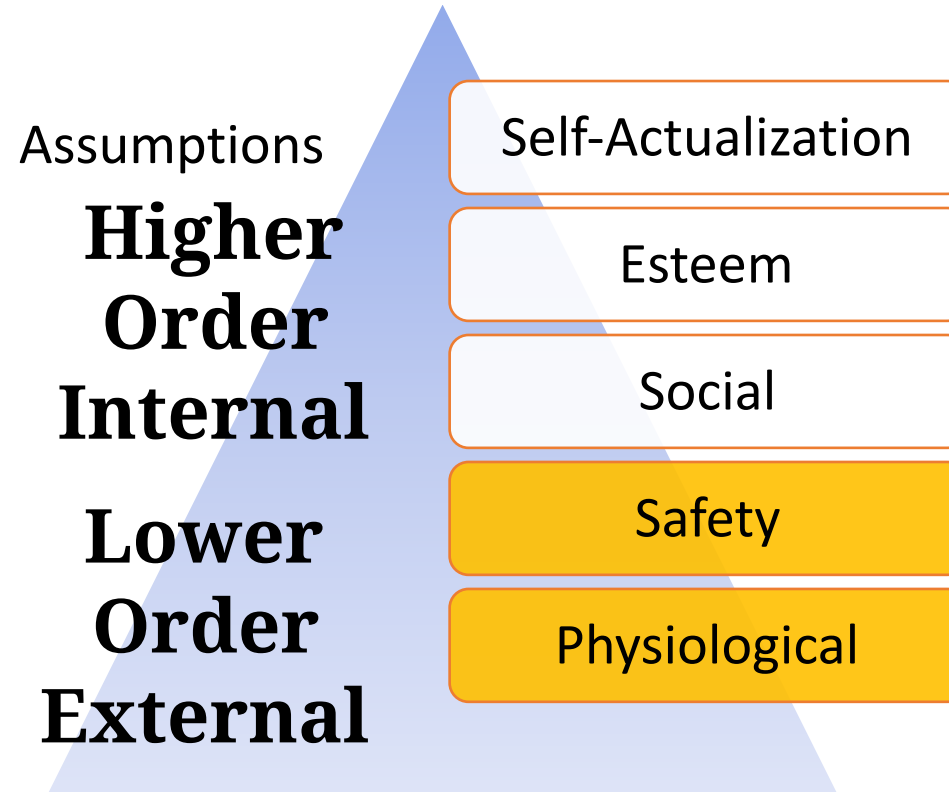
Early Theories of Motivation

These early theories may not be valid, but they do form the basis for contemporary theories and are still used by practicing managers.

- Maslow's Hierarchy of Needs Theory
- McGregor's Theory X and Theory Y
- Herzberg's Two-Factor Theory
- McClelland's Theory of Needs

Maslow's Hierarchy of Needs

There is a hierarchy of five needs. As each need is substantially satisfied, the next need becomes dominant.



- Individuals cannot move to the next higher level until all needs at the current (lower) level are satisfied
- Must move in hierarchical order

Maslow's Hierarchy of Work Motivation



Herzberg's Two-Factor Theory

Key Point: Satisfaction and dissatisfaction are not opposites but separate constructs

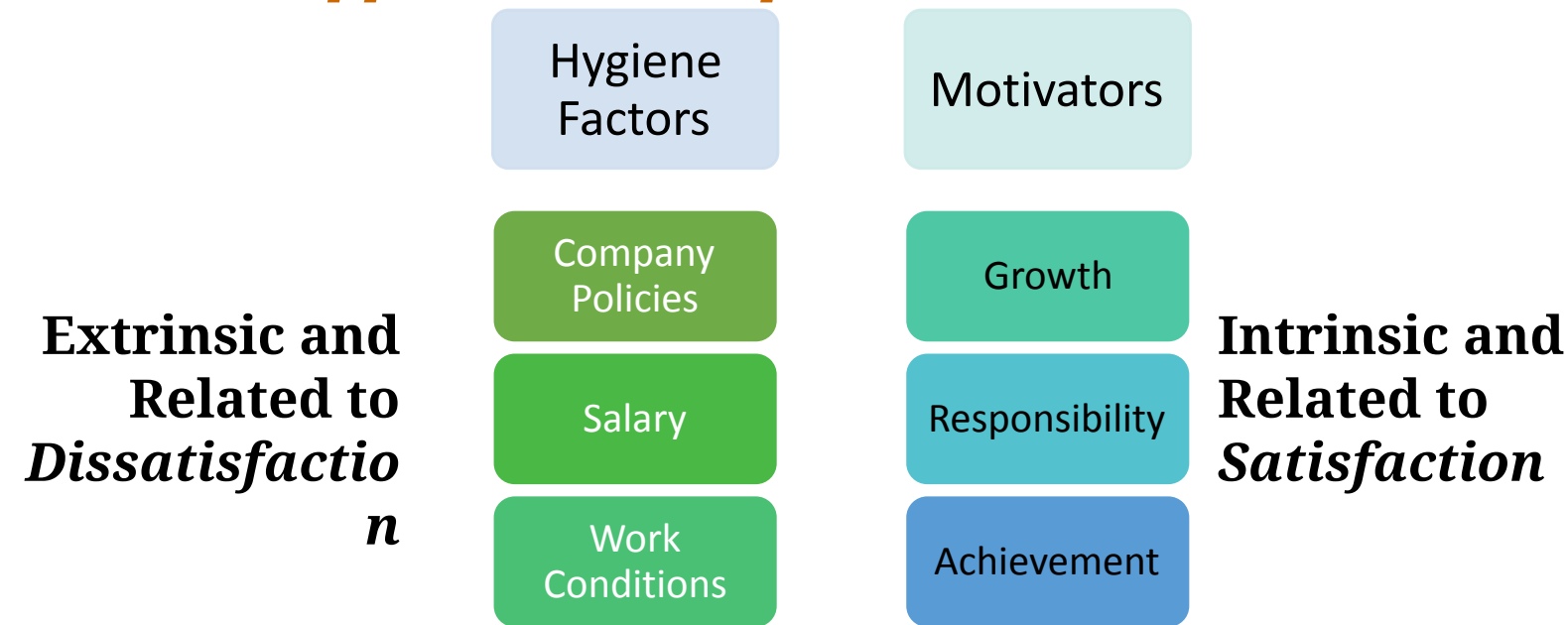


TABLE 6.2
Herzberg's Two-Factor Theory

Hygiene Factors	Motivators
Company policy and administration	Achievement
Supervision, technical	Recognition
Salary	Work itself
Interpersonal relations, supervisor	Responsibility
Working conditions	Advancement

THANK YOU